Block practice · Incomplete records

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Finding missing sales, purchases and balances

Income statement from incomplete records

Statement of financial position from incomplete records

OLevels.com SCHOOL

Practice workbook · Finding missing sales, purchases and balances

Reconstructing credit or total sales and purchases, or a missing receivable or payable, from cash records and opening and closing balances.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-PIR-08

1. Question 2 · part a.i · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part a.i only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

OLevels.com SCHOOL

1. Question 2 · part a.i · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part a.i only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1. Question 2 · part a.i · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part b.i · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 1 9 9 7 A 0 2 1 2

2. Question 1 · part b.i · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.i only.

(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 1 · part b.i · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part b.ii · 4 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 1 9 9 7 A 0 2 1 2

3. Question 1 · part b.ii · 4 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

OLevels.com SCHOOL

3. Question 1 · part b.ii · 4 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

Abel
Income statement for the year ended 31 March 2019

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 1 9 9 7 A 0 4 1 2

3. Question 1 · part b.ii · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part a.ii · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

OLevels.com SCHOOL

4. Question 2 · part a.ii · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part a.ii only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

4. Question 2 · part a.ii · 3 marks

2023 JAN · Paper 02

Further practice · Attempt part a.ii only.

(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 2 · part a.ii · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part a · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

1 Tim, a sole trader, provided the following information for the year ended 30 April 2023.

	1 May 2022 $	30 April 2023 $
Inventory	27 280	20 130
Trade receivables	31 550	41 790

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

(5)

During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 1 · part a · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a only.

(b) Prepare the income statement for the year ended 30 April 2023.

(15)

Tim
Income statement for the year ended 30 April 2023

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 1 · part a · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part a.i · 4 marks

2024 NOV · Paper 02

Further practice · Attempt part a.i only.

1 Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

Balance at 1 September 2023	$
Bank	21 550
Inventory	39 500
Motor vehicles – carrying value	30 000
Other payables – general expenses	1 750
Trade payables	37 500
Trade receivables	48 200

Bank summary

Receipts	$	Payments	$
Trade receivables	215 000	Trade payables	135 125
		Drawings	21 900
		Wages	10 550
		General expenses	16 125
		Motor expenses	8 900

Additional information at 31 August 2024

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 7 5 9 4 2 A 0 2 1 2

6. Question 1 · part a.i · 4 marks

2024 NOV · Paper 02

Further practice · Attempt part a.i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(a) Calculate, at 31 August 2024, the:

(i) trade receivables

(4)

(ii) trade payables.

(3)

OLevels.COM SCHOOL

6. Question 1 · part a.i · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 1 · part a.ii · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

1 Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

Balance at 1 September 2023	$
Bank	21 550
Inventory	39 500
Motor vehicles – carrying value	30 000
Other payables – general expenses	1 750
Trade payables	37 500
Trade receivables	48 200

Bank summary

Receipts	$	Payments	$
Trade receivables	215 000	Trade payables	135 125
		Drawings	21 900
		Wages	10 550
		General expenses	16 125
		Motor expenses	8 900

Additional information at 31 August 2024

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

7. Question 1 · part a.ii · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(a) Calculate, at 31 August 2024, the:

(i) trade receivables

(4)

(ii) trade payables.

(3)

OLevels.COM SCHOOL

7. Question 1 · part a.ii · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

Romala
Statement of financial position at 31 August 2024

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

7. Question 1 · part a.ii · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Income statement from incomplete records

A trader's income statement, or trading section, where sales, purchases and expenses must first be derived from cash records.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-PIR-09

1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

OLevels.com SCHOOL

1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(c) State **two** accounting concepts that apply when preparing financial statements.

(2)

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

	30 September	
	2021	**2022**
Current (working capital) ratio	2:1:1	2.3:1
Liquid (acid test) ratio	1.2:1	0.8:1

(d) Evaluate the change in liquidity from 2021 to 2022.

(5)

(Total for Question 2 = 25 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

1. Question 2 · part b · 12 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 6 1 9 9 7 A 0 2 1 2

2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

OLevels.COM SCHOOL

2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

Abel
Income statement for the year ended 31 March 2019

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Abel has calculated the following ratios.

	31 March	
Ratio	**2019**	**2018**
Current (working capital)	2.42:1	3.01:1
Liquid (acid test)	0.92:1	1.52:1

(d) Evaluate the change in the liquidity of the business.

(5)

(Total for Question 1 = 25 marks)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 1 · part c · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2

P 6 0 6 8 4 A 0 2 1 2

3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

P 6 0 6 8 4 A 0 4 1 2

3. Question 1 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

1 On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

Bank summary

Receipts	$	Payments	$
Capital	75 000	Drawings	31 750
Trade receivables	165 200	Motor vehicle	40 000
Balance c/d	3 225	Office expenses	18 975
		Rent and rates	14 600
		Trade payables	104 200
		Wages and salaries	28 900
		Motor expenses	5 000
	243 425		243 425
		Balance b/d	3 225

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 1 5 7 5 A 0 2 1 2

4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

Sajjan
Income statement for the year ended 30 April 2022

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

Sajjan
Statement of financial position at 30 April 2022

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 1 · part a · 10 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 Tim, a sole trader, provided the following information for the year ended 30 April 2023.

	1 May 2022 $	30 April 2023 $
Inventory	27 280	20 130
Trade receivables	31 550	41 790

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

(5)

OLevels.COM SCHOOL

During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Prepare the income statement for the year ended 30 April 2023.

(15)

Tim
Income statement for the year ended 30 April 2023

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Explain why Tim made an adjustment for goods taken for personal use. You **must** refer to an accounting concept.

(3)

(d) Explain how Tim applies the consistency concept when depreciating non-current assets.

(2)

(Total for Question 1 = 25 marks)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS A

OLevels.COM SCHOOL

5. Question 1 · part b · 15 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Statement of financial position from incomplete records

A sole trader's year-end statement of financial position, or its equity section, when opening capital, bank or profit must be worked out first.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-PIR-10

1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 7 5 8 3 9 A 0 6 1 2

1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 5 8 3 9 A 0 7 1 2

7

Turn over

1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.



1. Question 2 · part a.ii · 15 marks

2024 JUN · Paper 02

Worked-example retry · Attempt part a.ii only.

(b) Discuss **two** reasons why a business should maintain full accounting records.

(4)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 2 · part a.ii · 15 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 1 · part c · 5 marks

2020 JAN · Paper 02

Further practice · Attempt part c only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 1 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

1 On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

Bank summary

Receipts	$	Payments	$
Capital	75 000	Drawings	31 750
Trade receivables	165 200	Motor vehicle	40 000
Balance c/d	3 225	Office expenses	18 975
		Rent and rates	14 600
		Trade payables	104 200
		Wages and salaries	28 900
		Motor expenses	5 000
	243 425		243 425
		Balance b/d	3 225

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 1 5 7 5 A 0 2 1 2

3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

Sajjan
Income statement for the year ended 30 April 2022

OLevels.com SCHOOL

3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

Sajjan
Statement of financial position at 30 April 2022

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

3. Question 1 · part b · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(c) Explain why the following accounting concepts should be applied when maintaining a provision for irrecoverable debts.

(i) Prudence

(3)

(ii) Accruals

(2)

(Total for Question 1 = 25 marks)

OLevels.com SCHOOL

3. Question 1 · part b · 10 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

2 Ed, a sole trader, provided the following information.

Balance at 1 May 2022	**$**
Fixtures and fittings – cost – provision for depreciation	 123 500 55 575
Bank	1 680
Inventory	25 500
Other payables	1 400
Trade receivables	76 000
Trade payables	25 100

(a) Calculate the equity at 1 May 2022. **(3)**

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Balance at 30 April 2023	$
Fixtures and fittings – cost – provision for depreciation	 275 000 96 825
Bank	2 650 Cr
Bank loan (2030)	75 000
Inventory	17 600
Other payables	1 900
Trade receivables	86 500
Trade payables	18 540

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

OLevels.COM SCHOOL

4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

Ed
Statement of Financial Position at 30 April 2023

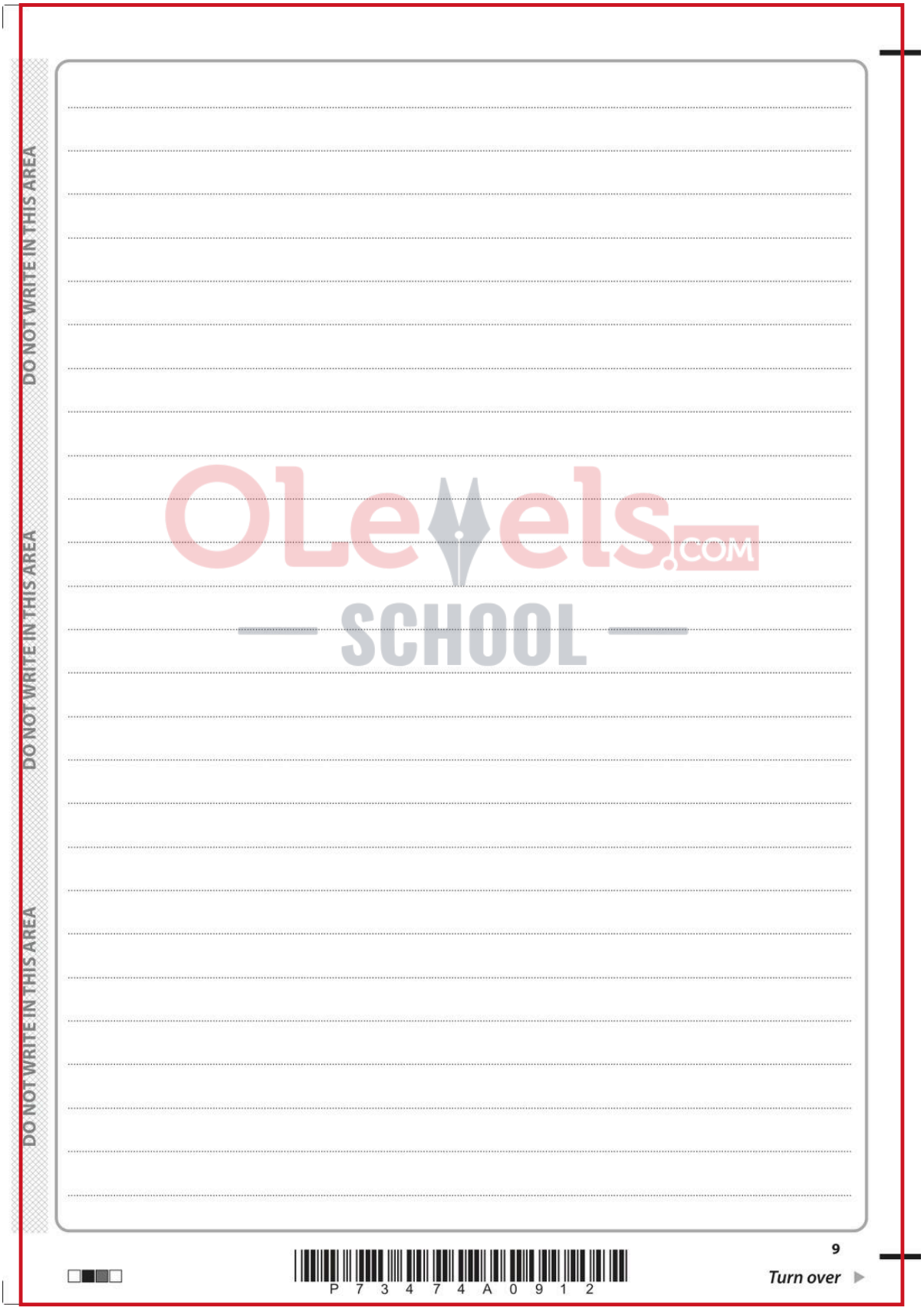
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.



4. Question 2 · part b · 17 marks

2023 NOV · Paper 02

Further practice · Attempt part b only.

Ed is considering investing in a computerised accounting package.

(c) Evaluate the **disadvantages** of this proposal.

(5)

OLevels.com SCHOOL

(Total for Question 2 = 25 marks)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS ARE

4. Question 2 · part b · 17 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

1 Romala, a sole trader, buys and sells goods on credit only.

On 31 August 2024, she provided the following information.

Balance at 1 September 2023	$
Bank	21 550
Inventory	39 500
Motor vehicles – carrying value	30 000
Other payables – general expenses	1 750
Trade payables	37 500
Trade receivables	48 200

Bank summary

Receipts	$	Payments	$
Trade receivables	215 000	Trade payables	135 125
		Drawings	21 900
		Wages	10 550
		General expenses	16 125
		Motor expenses	8 900

Additional information at 31 August 2024

- Closing inventory was valued at $32 600
- Motor vehicles are depreciated at 25% per annum on a reducing balance basis. There had been no purchases or disposals of motor vehicles during the year.
- Irrecoverable debts of $850 were to be written off.
- Profit for the year as a percentage of revenue was 20%.
- During the year, total sales were $235 000 and total purchases were $139 875
- Other receivables for general expenses were $950

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

P 7 5 9 4 2 A 0 2 1 2

5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(a) Calculate, at 31 August 2024, the:

(i) trade receivables

(4)

(ii) trade payables.

(3)

OLevels.COM SCHOOL

5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

(iii) Prepare the statement of financial position at 31 August 2024.

(13)

Romala
Statement of financial position at 31 August 2024

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4

P 7 5 9 4 2 A 0 4 1 2

5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 5 9 4 2 A 0 5 1 2

5. Question 1 · part a.iii · 13 marks

2024 NOV · Paper 02

Further practice · Attempt part a.iii only.

Romala is concerned about the number of irrecoverable debts and is considering creating a provision for irrecoverable debts.

(b) Discuss, referring to appropriate accounting concepts, whether Romala should create a provision for irrecoverable debts.

(5)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(Total for Question 1 = 25 marks)

5. Question 1 · part a.iii · 13 marks · Working and answer

Working and answer

OLevels.com SCHOOL